"Private sector capital is starting to move"

Neelkanth Mishra, India's Executive Director at the World Bank, on his outlook for the Indian economy

BY **SURABHI**

THE PRIVATE CAPEX cycle in India is beginning to move, says Neelkanth Mishra, India's Executive Director at the World Bank, as investments in sectors like steel, cement, power, and data centres gain momentum. He says 7%-plus GDP growth is achievable but also warns of headwinds from high crude oil prices and cost of capital. Edited excerpts:

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With the West Asia war and a poor monsoon, do you think India's current growth trajectory is sustainable?

Yes, I think it is sustainable. The real estate cycle has turned, and the investment cycle is turning. We are out of the deleveraging that was forced by the previous excesses in lending and the IBC (Insolvency and Bankruptcy Code). Our trend growth is well above 7%, and there is no reason why we should not be able to manage it.

There are two significant growth headwinds. First are energy prices. It does not look like the war in West Asia will end soon, and it may escalate further before de-escalating, which means energy prices will be higher for longer. The government is providing some fiscal support to cushion the impact on the economy, but depending on where oil prices average over the next 12 months, there will be some headwind. At $100-$105 dollars per barrel, it is a 2% of GDP headwind to the economy. Some of this is being offset by the government's fiscal interventions, which means GDP growth can be impacted by 0.5-1%.

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The second headwind is from the cost of capital. Earlier, one could finance 2-3% of GDP worth of current account deficit (CAD), but today even 1% is harder to finance, given rising yields and the global growth slowdown. But 7%-plus growth rate is still doable.

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What is your take on inflation?

Oil prices are averaging $100–105 instead of $70, and energy constitutes a significant part of the consumption basket, both directly and indirectly. It would therefore, be unwise to assume that inflation will not rise. Prices will have to increase.

Unless you expect crude oil prices to rise from $70 to $105 and then to $150, it is unlikely that this alone would warrant rate hikes. It would be viewed as a step-change adjustment in the process. The question is whether this will significantly affect consumption. That is how the growth headwind manifests itself: consumers are paying considerably more for the same volume of goods they previously purchased.